MGT602 SUBJECTIVES

MID TERM- 100%

ENTREPRENEURSHIP

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OBJECTIVES

Second option is of "advertisements". Franchise opportunities are often advertised in newspapers. Alternate words such as **dealership, distributors** etc. are also advertised

Secondly, "**empathy**" is also important. One should understand the others

Student Startup Business Centre (SSBC) w

"Entrepreneur" means "**to take between**"

An entrepreneur's traits of knowledge and inspiration help him in **idea generation.**

Green trend (sustainable fashion, recycling, **zero-waste practices**, eating a plant-based diet, and reducing the use of plastics)

The economic indicators which an entrepreneur must have information about are:

GDP annual growth rate, GDP per capita, GDP per capita PPP, unemployment rate, inflation rate, consumer price index CPI, food inflation, foreign exchange reserves, balance of trade, corporate tax rate, personal income tax rate, and sales tax rate.

A business incubation center is a place that helps startup **companies to develop**, grow and mature as an established business by **providing finance**,

Factor drive economy unskilled labor...

A factordriven economy has a subsistence agriculture background with an extraction business with heavy reliance on unskilled labor **and natural resources**

Innovation drive economy..

America and Japan are examples of innovation-driven economies

Akhuwat Foundation is also an example of **social entrepreneurship**

Goal setting

"**goal setting" is an important characteristic and a key skill**

Franchising two party system

Piggyback franchising ka tha.

Area of sale territory ka tha

1 mn building ana tha etc..

Piggy back franchising def

"Piggyback Franchising". In this type, neither franchisee uses the name of franchiser nor does he deal in franchiser's products or business format.

Boston ... Revolution type

BCG matrix was developed by the Boston Consulting Group. It is also called as Growth-Share Matrix

Entrepreneurship myopia

Entrepreneurship myopia is a concept which states that, sometimes new entrepreneurs read stories of successful entrepreneurs and overlook the struggle of them which frustrates these new or potential entrepreneurs if they don't reach the similar point of success.

Which generation is social media lover ---------- **Millennial**

Scenario based thy

Ismaic republic Pakistan is an example of .....

Factor driven

Efficiency driven

Resource economy

making problem solving ability refers to which nature

Ans: **enterprising nature**

values embedded in family business

Mutual respect ..repeat tha yee

ik sceneria tha ..part time entrepreneurship

Andrew Carnegie is an example of entrepreneur of which century: ***19th and 20th century***

.A utility patent has a term of: ***20 years***

Which of the following is a method of selling goods to another country by taking care of transactions? ***Direct exporting***

BICs stand for ***Business Incubation Centers***

Having more than 50% ownership position that provides the entrepreneur with managerial control is called: ***Majority interest***

how many pillars of entrepreneurial ecosystem ***14***

Founder of KFC ***Colonel Harland Sanders***

.....means the statistical structure of populations ***Demography***

Who described entrepreneurship as a discipline? ***Joseph Schumpeter***

BIC Stand for ----------**Business Incubation Centers**

Organic orientation trend*

(**vegetables with no fertilizers and pesticides used**,

Most common myth about entrepreneur is :

(**Entrepreneurs are born and they cannot be made)**

Neither franchisee uses the name of franchiser nor does he deal in franchiser's products or business format

(piggyback franchising)

Akhuwat Foundation is an example of

(social entrepreneurship)

A family eating organic products, home grown vegetables

(Organic orientation trend)

Ability to understand something instinctively,

without the need for conscious reasoning

(Intuition)

Schumpeter described entrepreneurship a process of **.....creative destruction.**

Commitments of family business except.....**morality - base commitment.**

Ahmad starts his business without foresight and lose a lot. He lacks which entrepreneurial characteristic..... **execution intelligence.**

Steam engine triggered Craft production era to .....**mass production era**.

To understand someone feelings and convey to other is called.....**empathy.**

Social entrepreneurs.... "i**ndividuals who recognize a social problem and use novel ideas to solve it.**

regional economic integrations i.e. **SAARC,**

In Pakistan, Akhuwat Foundation is also an example of **social entrepreneurship** like Grameen bank.

SUBJECTIVES

Pitfalls of entrepreneurial

Entrepreneurial pitfalls encompass various challenges, including the lack of managerial skills, insufficient experience, poor financial control, weak marketing efforts, failure to develop a strategic plan, uncontrollable growth issues, unplanned diversification, poor location selection, incorrect pricing, and an inability to adapt during the entrepreneurial journey.

Why pure entrepreneurial root has highest risk logical reasoning.

The "pure entrepreneurship route" involves starting a business from scratch, making it the riskiest option among entering business routes. Unlike franchising, buying an existing business, or joining a family business, it lacks established systems, increasing the likelihood of failure due to uncertainty and resource challenges.

Five issues in family business (5)

Five issues in family businesses include 1= Conflicts among family members impacting the entire business, 2= Challenges for female members in male-dominated scenarios, 3= Role conflicts between parents and children, 4= Difficulty in maintaining financial accountability, and 5= Succession delays due to fear, reluctance, and potential rivalry among senior family members, leading to blurred boundaries and potential business mismanagement.

Business incubation center how it works give examples:

A business incubation center is a place that helps startup companies to develop, grow and mature as an established business by providing finance, office space, and mentoring services. A business incubation center is considered a Launchpad for startups.
Examples include the Student Startup Business Centre (SSBC) by Virtual University of Pakistan and international platforms like The Indus Entrepreneur (TIE) and Global Entrepreneurship Monitor (GEM).

Brainstorming vs brain writing:

Brainstorming is a group technique where participants discuss and generate ideas, emphasizing quantity and creativity. Rules include no criticism, welcoming wild ideas, and encouraging diverse thinking. In contrast, **brain writing** involves participants writing down ideas individually, allowing for critique and refinement before sharing, fostering a more structured ideation process.

Innovation driven economy how it works give international examples:

An innovation-driven economy emphasizes knowledge-intensive businesses and an expanding services sector. Examples include the United States and Japan, where innovation fuels economic growth. Entrepreneurship plays a pivotal role, acting as an innovation hub, creating jobs, boosting national income, and driving social change. This model, championed by Michael Porter, recognizes entrepreneurs as crucial partners in regional and national economic development, addressing challenges and fostering integration and social value creation.

1--types of cost.

There are four types of costs that an entrepreneur will have to bear in franchising business difference between Royalty and initial franchise fee.

1. Initial franchise fee
2. Cash investment
3. Royalty payment

4. Advertising expense

1= Initial franchise fee: First type of cost is “initial franchise fee”. This type of fee is usually non-refundable and taken at the start by the franchiser for commercial use of his name by the franchisee. For example, a school may sell the name as a franchise and can collect the initial franchise fee.

2= Royalty payment: Third type of cost is “royalty payment”. It is the type of cost that franchisee has to give to the franchiser based upon the earning 3 of business. This payment usually ranges from 5 % or 25 % depending on the mutually decided agreement.

Merchant entrepreneur:

A merchant entrepreneur emerges when surplus goods from agricultural societies are traded among tribes. This concept evolved as humans transitioned from hunter-gatherer tribes to agricultural societies, fostering the development of trade relations such as the ancient Silk Road.

What are the Good qualities of opportunity:

A good opportunity should have four qualities which are: attractiveness (personal choice, preference, attractive with respect to market, financially viable), durability (not be short term, pop up opportunity, sustainable), timeliness (right time, develop product within time before others), and value proposition (product or service adds value for the buyer or end user, value for entrepreneur, overall environment, value anchored in product/service/business).

ik conceptual tha k Ahmed nae shell ka petrol pump liya hai uski konsi franchise hai or Kiya wo kisi or company k products sell kr skta

if Ahmed has acquired a Shell petrol pump franchise, it falls under the category of "product and trade name franchising." In this arrangement, the franchisee (Ahmed) is granted the right to use the Shell brand name and sells products or services produced by Shell. Therefore, Ahmed would typically sell Shell's products and may not be allowed to sell products from another company unless specified in the franchise agreement.

How redefining the value preposition helps in jobs creation:

Redefining the value proposition by entrepreneurs, as part of their enterprising nature, motivates job creation. By seizing opportunities, establishing ventures, and innovating, entrepreneurs like Aftab Iqbal and international figures such as Steve Jobs contribute significantly to job opportunities and economic growth.

What is entrepreneurship process and how entrepreneur traits help in entrepreneurship process;

The entrepreneurial process includes all the functions, activities, and actions that are part of perceiving opportunities and creating organizations to pursue them. The process is, 1= Idea, 2= Venture Development, 3= Productiona and Operations, 4= Sustainability and Growth. Entrepreneurial traits play a crucial role in the entrepreneurship process. Knowledge and inspiration drive innovative thinking, while traits like determination and trial-and-error foster resilience in overcoming challenges. Productivity, efficiency, leadership, and networking enhance an entrepreneur's ability to navigate complexities, adapt, and ultimately succeed in the dynamic business environment.

Three advantages of Franchise entrepreneurship:

Franchise entrepreneurship offers established brand recognition, a proven business model, and ongoing support from the franchisor. Entrepreneurs benefit from a ready-made customer base, reduced risk, and access to established operational systems, fostering higher chances of success.

Define Social entrepreneur and write two advantages of social entrepreneurship.

A social entrepreneur addresses societal challenges through innovative business solutions, aiming for positive societal impact rather than solely pursuing profit. Advantages include sustainable problem-solving, as profits are reinvested, and collaboration with government/NGOs enhances effectiveness and expands reach, exemplified by Grameen Bank and Akhuwat Foundation.

Role of entrepreneur as a Job creator.

An entrepreneur being a business owner, is responsible for many entities involved within a business i.e. investments, human resources and business opportunities. This equation of up scaled responsibilities keeps an entrepreneur motivated and affirm his role as a job creator in the society.

How personal observation can be useful in finding business opportunity in Franchise entrepreneurship. Explain with example.

Personal observation is crucial in identifying franchise opportunities. This involves assessing a company's potential through firsthand knowledge or direct observation. For instance, if an entrepreneur has personal experience with a company offering franchise rights, their insights can inform a decision. This method complements other research avenues, such as government agencies, the internet, and franchise consultants, ensuring a comprehensive understanding of the business before committing to a franchise opportunity. This hands-on approach enhances the entrepreneur's ability to make informed and strategic decisions in the realm of franchise entrepreneurship.

Enlist five disadvantages of being an Entrepreneur.

Disadvantages of entrepreneurship include the absence of a fixed income, unpredictable financial fluctuations, constant risk of failure with potential loss of investment, extended working hours, initial strain on quality of life due to limited startup finances, heightened stress levels with sole responsibility, susceptibility to external pressures, multitasking demands, uncertain income impacting family expenses, and challenges in meeting deadlines despite well-laid plans.

Few Advantages of franchise are listed below:

1. Lower Risk
2. Proven Business Model
3. Established Brand
4. Higher Chance of Success
5. Ongoing Support

What are the challenges of problems face a woman while start a business or as a Entrepreneur:

While women entrepreneurs face challenges common to all, additional hurdles include societal expectations, limited access to funding and resources, and gender biases. Social norms may restrict women's mobility or involvement in certain industries. Balancing family responsibilities and business demands poses a unique challenge. Moreover, women entrepreneurs may encounter biases in accessing networks and opportunities. Addressing these issues requires systemic changes and empowerment initiatives to foster an inclusive and supportive environment for women in entrepreneurship.

What are the best practices for managing the businesses and how conflicts are resolved in family businesses?

Best practices for managing family businesses involve encouraging new thinking to avoid inertia, seeking input from non-family members, hiring competent managers regardless of family ties, fostering a creative and flexible organizational environment, and emphasizing both the creation and conservation of capital. Succession planning should be timely, preserving the unique advantages of the family business. Conflict resolution involves understanding various

roles and relationships within the family, addressing issues such as succession planning and diverse family dynamics.

What is the importance of personal networking after established a business or in start of business?

Personal networking is crucial for business success, especially after establishment. It facilitates information-seeking, cultural and market awareness, and gaining essential knowledge. Building networks aids in overcoming challenges, accessing training opportunities, and fostering growth and expansion after the initial startup phase.

Ahmad sell his business, what are the reasons behind it according to you:/ Mr.Hammad has his business of selling carpets. He is selling his business to Mr. Jawad. what are the 5 causes of selling his business?5

Business might be running well but due to old age or illness he wants to sell. Owner might be shifting to different section of the country or probably moving to some other country and due to nature of the business he can't move the business. Sometimes it might happen that you are running your own business but you get another different but good option from other company. The business might be no more profitable. Contract with major franchisors might have ended and business is not profitable with local brand name so he wants to sell. Owner might have foreseen that the business is not going to grow in future and might face loss so he can sell.

Why knowledge seeking ability is important for being an entrepreneur:

Knowledge-seeking is crucial for entrepreneurs as it provides essential information for business success. From market awareness to competition and pricing, entrepreneurs need a clear understanding to navigate challenges, plan for growth, and access training opportunities, ensuring continuous learning and adaptation for sustainable business development.

Entrepreneurship is an experimental &practical field explain:

Entrepreneurship is an experimental and practical field involving the application of innovative ideas in real-world scenarios. Entrepreneurs engage in hands-on experiences, testing hypotheses, adapting strategies, and learning through practical endeavors to drive business success and foster innovation.

Characteristics of family business:

The characteristics of family businesses include the impact of internal conflicts on the entire business, challenges in succession planning due to delays and fear, blurred boundaries among family, ownership, and management, and the need for clear documentation to avoid conflicts. Family businesses often exhibit shared values, goals, and a structured plan with well-defined roles for family members. Professional management, governance structures, and the inclusion of external advisors contribute to their success.

Drawbacks of being an entrepreneur:

Entrepreneurial pitfalls encompass various challenges, including the lack of managerial skills, insufficient experience, poor financial control, weak marketing efforts, failure to develop a strategic plan, uncontrollable growth issues, unplanned diversification, poor location selection, incorrect pricing, and an inability to adapt during the entrepreneurial journey.

How the invention of steam engine drove industrial revolution?

The steam engine's invention propelled the industrial revolution by satisfying traders' transportation needs, enabling far-reaching trade. This led to mass production, fostering growth in railroads, iron factories, textile mills, mining, and other industries. The industrial revolution

improved living standards, shifted towards larger units, and influenced subsequent technological revolutions, highlighting the transformative impact of human enterprise and innovation.

Differentiate between family concerns and business concerns.

Family Concerns: 1= Care and nurturing of family members, 2= Employment and advancement in the firm, 3= Loyalty to the family.
Business Concerns: Production and distribution of goods and/or services, 2= Need for professional management, 3= Effective and efficient operation of the firm.

Differentiate between externally stimulated ventures and internally stimulated ventures.

In externally stimulated ventures, the entrepreneur decides to start a business, look for and recognizes the opportunity and starts the business. In internally stimulated ventures, an entrepreneur sees the problem or gap and an opportunity to create a business and fill the gap. Whether a venture is externally stimulated or internally stimulated, opportunities are tough to locate.

What is social innovation. what are the causes of social innovation.

Social innovation is the application of innovative, sustainable, market-based approaches to address societal issues. Causes include the realization that businesses can contribute to societal welfare by integrating solutions into their core operations, rather than relying solely on NGO donations. Social entrepreneurship, driven by individuals recognizing social problems and creating innovative solutions, exemplifies this shift. Identifying market gaps through effective market research is crucial for successful entrepreneurial ventures.

Write at least 5 challenges in family business.

Challenges for business families include family rivalry, a glass ceiling for female members, managing multiple roles, conflicts between parent and professional roles, diverse management styles, issues of financial accountability, excessive family involvement, succession delays due to fear and reluctance, threats to personal identity, biases against planning, difficulties in choosing among children, fears of retirement, jealousy, blurred boundaries, a lack of interest in family business, and an "easy come, easy go" attitude.

What is riskiest type of entrepreneurship, Starting a new venture.

The riskiest type of entrepreneurship is "pure entrepreneurship," involving starting a new business from scratch. This route carries the highest level of risk, as it lacks the established systems and brand recognition found in franchising or existing family businesses. In contrast, franchising is considered the least risky option for new ventures, offering a lower risk-to-reward ratio.

Which type of entrepreneurship has termination clause, Franchising.

Franchising is the type of entrepreneurship that has a termination clause. This clause is advantageous for the franchiser, allowing them to terminate the agreement under specific conditions, providing control over franchise operations and protecting the franchiser's interests.

Reason of succession delays:

Reasons for succession delays in family businesses include conflicts among family members, gender biases limiting female family members, role conflicts, differences in management styles, reluctance to justify financial spending, and issues stemming from family conflicts. Fear of death, hesitancy to share power, and concerns about personal identity contribute to delays, along with fears of retirement, jealousy, and blurred boundaries.

About green trend:

The green trend encompasses sustainable fashion, recycling, zero-waste practices, plant-based

diets, and minimizing plastic use. It reflects a growing consciousness towards eco-friendly and environmentally sustainable lifestyle choices.

Write three opportunities?

1. Renewable Energy Development
2. E-commerce Platform Expansion
3. Healthcare Technology Innovation

What is concept of work ethics? Is it important explain with example:

Work ethics encompass principles and values governing one's behavior in the workplace. It involves integrity, responsibility, and a commitment to moral conduct. Work ethics are crucial for building trust and reputation. For example, a small business owner who consistently delivers quality products and treats employees ethically gains customer loyalty and positive perceptions, fostering long-term success.

How Joseph Schumpeter describe the entrepreneur?

Joseph Schumpeter characterized the entrepreneur as a catalyst for creative destruction, linking entrepreneurship with innovation. He saw entrepreneurs as individuals capable of transforming new ideas into successful innovations by creatively bundling resources, taking/manage risks, and contributing to economic development through their innovative mindset and actions.

why should family business concern is established?

Family business concerns should be established for the production and distribution of goods/services, necessitating professional management for effective and efficient operations. This ensures the business's sustainability and success in delivering quality products or services to the market.

Write 3 commitments that affect family business:

1. Desire-based commitment
2. Obligation-based commitment
3. Need-based commitment
4. Cost-based commitment

Give suggestions for success family business succession:

1. Develop a comprehensive succession plan.
2. Facilitate open communication among family members.
3. Provide training for potential successors.
4. Consider external advisors for objective guidance.
5. Establish clear roles and responsibilities.
6. Foster a positive family business culture.

Organic orientation trend:

Organic orientation trend (organic vegetables with no fertilizers and pesticides used, chemical free food products, home grown vegetables and fruits, organic cosmetics with ingredients that are human friendly, organic farming)

3 benefits of business incubation center

1. Financial Support
2. Office Space
3. Mentoring Services

Evaluation method while buying an existing business

When evaluating the purchase of an existing business, thorough research is crucial. Knowledge of the industry, relevant experience, and understanding market trends are essential. Assess the potential for expansion or maintenance, customer base, and payment methods. Analyze liabilities and receivables, consider diversification, and evaluate the sustainability of the business model, brand image, and goodwill.

Write demographic factors that motivates to become entrepreneur:

1. Minority entrepreneurs
2. Young entrepreneurs
3. Working couples (co-preneurs)
4. Women entrepreneurs
5. Urbanization
6. Part time entrepreneurs
7. Home based entrepreneurs

Why is it necessary to maintain good relationship between Franchisor and Franchisee.

Maintaining a good relationship between the franchisor and franchisee is crucial for productive collaboration. Responsiveness, empathy, effective communication, dependability, accessibility, anticipation, and open-mindedness are essential elements. While the franchisor may have an upper hand, the success of both parties is interlinked, emphasizing the need for a mutually beneficial partnership.

Entrepreneur are born not made. justify with two logical points.

The notion that entrepreneurs are born and not made is justified by the unique genetic backgrounds and individual characteristics each person possesses. Additionally, external environmental factors influence behavior and career choices, shaping entrepreneurial tendencies. The debate between nature and nurture in entrepreneurship recognizes the inherent qualities that predispose individuals to entrepreneurial activities.

Concept of empathy:

Empathy in the franchisor-franchisee relationship involves understanding each other's perspectives and needs. It fosters effective communication, dependability, and accessibility, creating a productive and mutually beneficial partnership. Empathy ensures a collaborative, open-minded approach, recognizing that the success of both parties is interdependent in the franchisor-franchisee dynamic.

Intuition explain:

Intuition is defined as “the ability to understand something instinctively, without the need for conscious reasoning.” It’s an ability to know something without any information or proof. Some people rely more on their intuition or gut feeling while others rely more on strategic reasoning and thinking over things before making any decision.